BERNSTEIN
SOCIETE GENERALE GROUP


Harshita Rawat, CFA
+1 917 344 8485
harshita.rawat@bernsteinsg.com


Simran Ratani
+1 917 344 8329
simran.ratani@bernsteinsg.com

Payments, Processors & IT Services

PayPal Holdings Inc

Rating

Market-Perform

Price Target

PYPL **55.00 USD**

PayPal 3q26: Can Agentic Commerce provide a generational opportunity to resurrect branded checkout growth?

The three key questions that were debated going into PayPal's third quarter earnings were around 1) outlook for the branded business given push-pull dynamics around pressures from de minimis in Europe & competition, but also tailwinds from sustained strong US e-commerce growth and recent reinvestments, 2) management's thoughts on PayPal as a standalone and combined company, 3) outlook for next year on EPS and transaction margin (TM) $s given the moving pieces on opex cuts, reinvestment and core growth.

Branded missed slightly (not surprising given Europe de-minimis impact), management spent much of the call focused on the transformation underway at PayPal and also on financial services as a key driver of TM$ growth going forward with a brief comment on objectively analyzing all options presented to them with a clear objective to maximize shareholder value (and 'at this point, the alternative is to execute the plan'). The preliminary commentary on 2027 metrics (TM$, EPS) was somewhat in-line with buyside expectations. The FCF generation, clean balance sheet and lingering M&A premium provides some continued floor for the stock.

*A key question that we hardly receive from investors but one we often wonder about is 'what happens with PayPal' in the world of agentic. We believe PayPal has a 'short window' of a generational opportunity to resurrect its value proposition for both the merchant and consumer in the world of agentic. While there is certainly case to be made for further commoditization - if Agents are handling our payments — do we really care about the 'guest checkout' friction? But two-sided wallets such as PayPal (and PayPal is an order of magnitude larger than most wallets out there) can *materially* expand their value proposition (around trust, protections, fraud/disputes), and also help consumers trust the agentic experience, and dynamically find savings, rewards, personalization, payments optimization (e.g., on BNPL, credit/debit cards). We have seen with others how quickly narratives can change with agentic - and we are closely watching PayPal's partnerships with Meta, Google, etc.*

Close Date	26 Oct 2026
PYPL Close Price (USD)	54.99
Price Target (USD)	55.00
Upside/(Downside)	0%
52-Week Range	79.22/38.46
SPX	7,676.77
FYE	Dec
Div Yield	1.0%
Market Cap (USD) (M)	48,111
EV (USD) (M)	48,571

Performance	YTD	1M	6M	12M
Absolute (%)	(3.7)	2.2	13.0	(19.9)
SPX (%)	12.1	(0.9)	7.1	13.0
Relative (%)	(15.8)	3.0	5.9	(33.0)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



An interesting focus of the call was on financial services i.e. moving beyond the usual branded discussion. Financial Services will be >20% of TM$ (growing DD%) in 2026. Management reiterated that the expansion into Financial Services broadens PayPal's addressable market, deepens customer engagement, and increases customer lifetime value and ARPA (3-5x for PayPal and 5-6x for Venmo). **[continued on next page]**

Adjusted EPS	F25A	F26E	F27E
PYPL (USD)	5.31	5.37	5.67

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	33,172	34,490	35,525	3.5%
Net Earnings (M)	5,142	4,701	4,577	(5.7)%

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	10.4	10.2	9.7

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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The key products currently include BNPL (which is accretive to TM$ even on short duration products; BNPL MAA grew 23%, TPV grew 25%), debit cards (US debit MAA grew 44% and TPV growth >60%) and also credit cards - and in the future will also include longer-duration BNPL and loans (e.g., on Venmo; likely similar to Cash App Borrow). Management noted a deliberate and balanced approach to scaling these products both from a risk and balance sheet perspective. Taking a step back, it appears that PayPal is pivoting towards broader sources of TM$ growth (i.e. beyond branded which may remain challenged in our view) and expects Financial Services, Venmo and Payment Services to contribute greater share of TM$, with each product growing DD%.

Branded remains weak but stable adj. for de-minimis impact in Europe. Merchant playbook is improving checkout growth in the U.S. for select merchants - however, we are closely watching TM$ growth profile at those merchants. Branded checkout TPV growth came in at 1% (vs. 1-2% revised guide from Sep. and 2% guide in July), with improvements in the US, stabilization in Germany but 70bps headwind from de minimis changes in Europe. US branded checkout improved for the 3rd consecutive qtr (although e-commerce growth has also been good in the U.S.). Within Europe, the growth in Germany has stabilized, and Italy and France have also seen good growth - while the UK continues to be consistently challenging. Management also noted that the launch of BNPL in Germany and Austria with Amazon has been off to a good start.

PayPal's US merchant playbook (e.g. updated checkout experiences, stronger presentment, BNPL, financial services, merchant co-marketing) is leading to improvements in merchant cohorts (where the full playbook has been deployed) and in relative checkout share vs. prior quarters. We note that likely still means lower TM$s given the reinvestments.

Management continues to expect branded checkout growth at LSD% for FY26 (~1-2% in 4q), impacted by de minimis headwinds in EU which they expect to persist. In 2027, PayPal plans to scale its merchant playbook across more merchants in the US/RoW, with expectations for investments to pay off in 2–3 years for branded checkout and ~3 years for its largest merchants.

Better late than never. Venmo appears to have good momentum - we will closely watch scaling of loan products which has unlocked meaningful ARPU upside for peers. As many investors already know Venmo monetization has had a series of false starts - not because of the lack of opportunity but because of historical poor execution, and we note that the latter (execution) has improved over the past 1–2 years. Venmo volumes grew at DD% for the 8th consecutive quarter, with ARPA also growing at the same rate, given adoption of its monetized products. Venmo Debit card reached 6.7M MAA (up 55%+ YoY), with record 1.6M first-time users in 3q. Pay with Venmo saw 40%+ growth this qtr and Venmo Debit grew 60%+ YoY. Only 23% of Venmo customers have currently used any financial services. Not surprisingly, financial services users have ARPA multiples that of P2P users. Venmo has also increased use cases to include travel, college tuition, prediction markets.

Braintree lags behind peers on capabilities but may have long-term VAS upside (still TBD in our view). PSP grew 8% this qtr with VAS attach growing to 6% (vs. 5% a year ago). **Within PSP, Braintree grew 10% in 3q**, driven by merchant wins (incl. expansion within existing merchants) and stronger retention. Management highlighted payouts, risk-as-a-service, invoicing as key VAS, with opportunity to improve monetization (unable to do properly in the past qtrs) and customer value. PayPal will continue investing in specialized sales, with further room to expand VAS attach.

Strong opex performance (not surprising given the bloat in PayPal's expense base). Management now expects non-GAAP non-transaction related operating expenses to grow MSD% in FY26 (vs. ~7-8% guide in 3q). During the qtr, opex came in 4ppt below consensus expectations, and management increased 2026 run-rate cost savings to >$700M (vs. ~$400M guide in 3q). That said, management also reiterated continued disciplined reinvestment in areas such as financial services, product growth, consumer lifecycle marketing, specialized sales, etc., whilst cautioning against extrapolating 3q opex performance for the full year.

FY27 initial commentary is fine. Management provided some color on FY27, with non-GAAP EPS growth expected to be similar to FY26 (cons. at $5.77 for FY27), with planned investments in TM$ and Opex, scaling initiatives across more U.S. and RoW merchants.

SUMMARY OF THE QUARTER

3Q26

- **TM$ came in 1.5ppt above consensus at $4.0B in 3q (up 2% yoy).** TM$ ex-interest on customer balances at $3.7B up ~3% yoy, driven by Venmo and Braintree with FX favorability, partially offset by strategic investments. Management highlighted that financial services was a key growth driver across all three businesses.
- **PayPal's total net revenue for the quarter came in1ppt below consensus** and was up 2%/1% on a spot/CC basis. Adj. EPS was $1.45, 11ppt above consensus.
  - **OVAS revenue was $873M, down 2% yoy,** driven by lower interest rates on consumer balances, partially offset by higher credit revenue.
  - By geography, **US revenue was up 5% yoy (58% of total net revenue),** while international revenue was down 4% on a cc basis.
  - **Transaction revenue was $7.7B, up 3% yoy, missing consensus by 1%**.
- **Transaction margins decreased slightly to 46.0% during the qtr vs 44.9% in 2q26, and 45.6% in 1q26** and on an absolute dollar basis came in at $4.0B, +2%/+3% yoy incl./ex. interest on customer balances.
- **TPV at $487B for the qtr was 1ppt below consensus,** growing 6% /7% yoy on spot/cc basis.
- **US TPV was $317B, up 11% yoy and International TPV came in at $171B, down 1% yoy on spot and flat on cc basis,** compared to 2q26 at ~14% (flat cc).
  - **PayPal's branded checkout (online) grew ~1% in the quarter on a cc basis globally, vs. ~2%/~5% in 2q26/3q25.** Mgmt saw continued stabilization as expected, with improvement in the US and continued strength in BNPL & Pay with Venmo offset by pressure from EU tariff changes. Note: PayPal branded checkout includes PayPal branded checkout, Pay with Venmo and eBay.
  - **PSP** grew 8% cc in the qtr vs 13%/6% in 2q26/3q25. PSP growth was driven by Braintree growing 10% from profitable front-book wins, high retention and expansion with existing merchants.
  - **Venmo TPV was $97B, up 14% yoy**.
  - **International TPV** at $171B, down 1% FXN yoy with EU tariff headwind in branded checkout offset by debit growth.
- **Transaction take rate was down 6bps yoy** driven by product mix and higher investments in branded checkout & buy now pay later.
- **Transaction expense rate was down 3bps qoq, down 2bps to 87bps vs 89bps in 3q25**, driven by favorable product mix and partner incentives. Transaction loss rates were 7bps, -2bps yoy driven by lower fraud losses and risk mitigation strategies.
- Non-transaction related expenses grew 1% yoy to $2.3B vs 9% / $2.4B in 2q26. Non-GAAP operating margin in the quarter was 18.8%, up 16bps yoy, driven by strong progress on cost initiatives while continuing to make investments across growth areas, technology, and risk.
- Adj. Free Cash Flow was $2.0B in the quarter, down 10% yoy vs $2.3B in3q25.
- PayPal returned $1.5B in capital to stockholders through share repurchases and ~$120M in dividends.

FY26 GUIDANCE

- **For 4q26, management guided to slightly positive TM$$ growth** (both incl. and ex. interest on customer balances), roughly in-line with consensus estimates.

- **Non-GAAP EPS** is expected to grow16% yoy to $1.43, vs consensus estimates of $1.35. The effective tax-rate is expected to be 19-20%, vs. consensus expectations of ~19.7%.

- **For FY2026, management guided to TM$$ of** $15.7B (vs. street at $15.6B). Ex-float, PayPal expects roughly ~$14.6bn TM dollar in 2026.
  - **Further, management continues to expect branded checkout to grow LSD% in FY26, with 4q between ~1-2%.**
  - **On Opex, management now expects growth at MSD% for the year (vs. ~7-8% guide in 3q, cons. at ~5%). Non-GAAP effective tax rate is expected at ~19% (roughly in-line with cons.). Adjusted FCF is expected at $6.5B+ (vs. cons. at $5.9B), and share repurchases are expected at ~$6B for FY26.**
- **For FY27, management expected it to be relatively consistent with FY2026** (with detailed guide in Feb'27)
  - In FY27, Non-GAAP EPS growth expected to be similar to FY26. Further, in the medium-term, TM$$ are expected to grow at MSD%.

PLEASE SEE LINKS TO OUR RECENT RESEARCH

- Agentic Commerce's Wild West, Stablecoins Finally Coming of Age: Insights from Money2020 Conference (October 2026)
- Consumer AI agents: The next Payments battle.. (October 2026)
- Consumer AI Agents: Is this the Wild West? How will incumbents respond? (October 2026)
- The rise of consumer AI agents: What does it mean for Financial Services? (September 2026)
- PayPal + Stripe/Advent: Perspectives on top 10 FAQs from investors, and implications for V, MA, Adyen, Block (July 2026)
- PayPal + Stripe Round 2? The deal that could reshape global payments. But can it happen? And at $60.50? (July 2026)
- Payments/Fintech: Stocks near 10yr lows – is it time for bold actions? (June 2026)
- PayPal: Reflections on our fireside chat with CEO Enrique Lores (June 2026)
- Payments: Shopify's platform partnerships with payment companies - key takeaways from our expert conversation (May 2026)
- Payments: Stablecoins — What we learned from our dozens of industry conversations; Slide deck (May 2026)
- Adyen, Braintree, Stripe, Checkout: Part 1 — A look at key metrics (April 2026)
- PayPal: Under siege; a look at checkout wars - has the ship sailed? (February 2026)
- PayPal + Stripe? The deal that could reshape global payments (February 2026)
- Payments: The growing regulatory risk premium? But will the numbers be impacted in the medium-term? (January 2026)
- Payments/Fintech 2026: A year to remember? Top themes and stock ideas (January 2026)
- PayPal: Bank charter application; our perspectives (December 2025)
- Payments: The Shopify Risk and Opportunity(July 2025)
- PayPal: Catalyst-rich Battleground Stock (July 2025)
- PayPal: Downgrading to MP (October 2024)

EXHIBIT 1: **PayPal's 3Q26 results were ahead of consensus on Transaction Gross Profit and Adj. EPS**

							Bern.	*Diff %*	Cons.	*Diff %*
Income Statement	**2023**	**2024**	**2025**	**26-Q1**	**26-Q2**	**26-Q3**	**26-Q3E**		**26-Q3E**	
Non-GAAP financials										
Transaction revenues	26,857	28,842	29,798	7,501	7,832	7,711	7,765	*(1%)*	7,818	*(1%)*
Other value added services	2,914	2,955	3,374	852	850	873	850	*3%*	885	*(1%)*
Non-GAAP net revenue	**29,771**	**31,797**	**33,172**	**8,353**	**8,682**	**8,584**	**8,615**	***(0%)***	**8,703**	***(1%)***
% YoY growth	***8%***	***7%***	***4%***	***7%***	***5%***	***2%***	***2%***	***-37 bps***	***3%***	***-142 bps***
% YoY CC growth	***9%***	***7%***	***4%***	***5%***	***3%***	***1%***	***2%***			
Non-GAAP Transaction expense	(14,385)	(15,697)	(15,987)	(4,165)	(4,385)	(4,248)	(4,307)	*(1%)*	(4,384)	*(3%)*
Non-GAAP Transaction and loan losses	(1,682)	(1,442)	(1,720)	(378)	(397)	(386)	(417)	*(7%)*	(428)	*(10%)*
Non-GAAP transaction Based expenses	(16,067)	(17,139)	(17,707)	(4,543)	(4,782)	(4,634)	(4,724)	*(2%)*	(4,813)	*(4%)*
% YoY growth	*17%*	*7%*	*3%*	*11%*	*8%*	*2%*	*4%*	*-197 bps*	*6%*	*-393 bps*
Gross profit	**13,704**	**14,658**	**15,465**	**3,810**	**3,900**	**3,950**	**3,891**	***2%***	**3,891**	***2%***
% YoY growth	***(1%)***	***7%***	***6%***	***3%***	***1%***	***2%***	*1%*	***152 bps***	***1%***	***153 bps***
% Gross margin	***46.0%***	***46.1%***	***46.6%***	***45.6%***	***44.9%***	***46.0%***	***45.2%***	***85 bps***	***44.7%***	***131 bps***
GAAP Gross Profit ex-Interest on Customer Balances	**12,737**	**13,374**	**14,235**	**3,536**	**3,619**	**3,661**	**3,623**			
% YoY growth		***5.0%***	***6.4%***	***3.5%***	***2.6%***	***3.1%***	***2%***			
% Gross margin	***43%***	***42%***	***43%***	***42%***	***42%***	***43%***	***42%***			
Transaction Gross Profits	**11,088**	**12,031**	**12,376**	**3,060**	**3,124**	**3,170**	**3,134**	***1%***	**3,157**	***0%***
Yoy growth	*(3%)*	*9%*	*3%*	*1%*	*1%*	*4%*	*2%*	*117 bps*	*3%*	*39 bps*
% Gross Margin	***46%***	***46%***	***47%***	***46%***	***45%***	***46%***	***45%***	***85 bps***	***45%***	***131 bps***
% Transaction Gross Margins	***41%***	***41%***	***42%***	***40%***	***39%***	***40%***	***40%***	*35 bps*		
Customer support and operations	(1,919)	(1,768)	(1,704)	(446)	(462)	(434)	(492)	*(12%)*	(476)	*(9%)*
Sales and marketing	(1,643)	(1,839)	(2,138)	(495)	(523)	(485)	(511)	*(5%)*	(547)	*(11%)*
Technology and development	(2,940)	(2,962)	(3,101)	(792)	(846)	(829)	(880)	*(6%)*	(867)	*(4%)*
General and administrative	(2,027)	(2,119)	(1,951)	(473)	(495)	(512)	(559)	*(8%)*	(533)	*(4%)*
Other	(54)	(132)	(193)	(63)	(67)	(77)	(10)	*660%*		
Non-GAAP non-transaction based opex	**(8,583)**	**(8,820)**	**(9,087)**	**(2,269)**	**(2,393)**	**(2,337)**	**(2,452)**	***(5%)***	**(2,424)**	*(4%)*
% YoY growth	*(7%)*	*3%*	*3%*	*8%*	*9%*	*1%*	*6%*	*-499 bps*	***5%***	***-376 bps***
Total Non-GAAP Opex	**(24,650)**	**(25,959)**	**(26,794)**	**(6,812)**	**(7,175)**	**(6,971)**	**(7,176)**	***(3%)***	**(7,236)**	*(4%)*
% YoY growth	*7%*	*5%*	*3%*	*10%*	*8%*	*2%*	*5%*	*-299 bps*	***6%***	***-387 bps***
Non-GAAP Operating income	**5,121**	**5,838**	**6,378**	**1,541**	**1,507**	**1,613**	**1,439**	***12%***	**1,422**	***13%***
% Non-GAAP Operating Margin	***17%***	***18%***	***19%***	***18.4%***	***17.4%***	***19%***	***17%***	***208 bps***	***16%***	***245 bps***
% YoY growth	***13%***	***14%***	***9%***	***(5%)***	***(8%)***	***3%***	***(8%)***	***1107 bps***	***(12%)***	***1515 bps***
Non-GAAP EPS - Diluted	**$3.83**	**$4.65**	**$5.31**	**$1.34**	**$1.38**	**$1.45**	**$1.33**	***9%***	**$1.31**	***11%***
% YoY growth	*24%*	*21%*	*14%*	*1%*	*(1%)*	*8%*	*(1%)*	*923 bps*	*(2%)*	*1057 bps*

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 2: **Branded checkout grew 1% during the qtr, slightly below midpoint of estimates**

Other operating metrics	2023	2024	2025	26-Q1	26-Q2	26-Q3	Bern. 26-Q3E	Diff %	Cons. 26-Q3E	Diff %
Reported										
Total TPV ($, billion)	**1,529**	**1,681**	**1,794**	**464**	**486**	**487**	**488**	*(0%)*	**491**	*(1%)*
% YoY growth	*13%*	*10%*	*7%*	*11%*	*10%*	*6%*	*7%*	*-26 bps*	*7%*	*-77 bps*
% YoY CC growth	*12%*	*10%*	*6%*	*8%*	*9%*	*7%*	*6%*	*100 bps*		
U.S. TPV ($, billion)	**971**	**1,066**	**1,133**	**300**	**316**	**317**				
% YoY growth	*10%*	*10%*	*6%*	*11%*	*14%*	*11%*				
RoW TPV ($, billion)	**557**	**615**	**661**	**164**	**171**	**171**				
% YoY growth	*17%*	*10%*	*7%*	*11%*	*2%*	*(1%)*				
% YoY CC growth			*5%*	*2%*	*0%*	*0%*				
TPV by Segment (% YoY FXN)										
Branded Checkout (Online)	*5%*	*6%*	*4%*	*2%*	*2%*	*1%*	*2%*		*2%*	
Branded Checkout (Online, ex-Pay with Venmo)		*5.5%*	*3.4%*	*1.4%*	*1.3%*	*0.0%*				
P2P & Other Consumer	*3%*	*7%*	*10%*	*10%*	*10%*	*10%*	*5%*		*8%*	
PSP	*25%*	*15%*	*5%*	*11%*	*13%*	*8%*	*8%*		*10%*	
Branded experiences (PayPal & Venmo Debit, Tap to Pay, % YoY FXN)	*5%*	*6%*	*6%*	*5%*	*6%*	*6%*				
PayPal Debit (% YoY)										
Venmo Debit (% YoY)										
Venmo TPV	**270**	**293**	**329**	**86**	**94**	**97**	**93**		**94**	*3%*
% yoy growth	*9%*	*9%*	*12%*	*14%*	*14%*	*14%*	*9%*		*10.3%*	*325 bps*
Pay with Venmo TPV	**6**	**8**	**11**	**3**	**3**	**5**	**5**			
% yoy growth	*25%*	*36%*	*40%*	*34%*	*44%*	*43%*	*44%*			
Take rate	***1.76%***	***1.72%***	***1.66%***	***1.62%***	***1.61%***	***1.58%***	***1.59%***	***-1 bps***	***1.59%***	***-1 bps***
% yoy growth	*(5.4%)*	*(2.3%)*	*(3.2%)*	*(3.9%)*	*(4.0%)*	*(3.6%)*	*(3%)*	*-43 bps*	*(3.0%)*	*-64 bps*
Take rate ex eBay ex Venmo, P2P ex Hedging gains	*2.1%*	*2.07%*	*2.04%*	*2.01%*	*1.99%*	*1.98%*	*0.0%*			
yoy change	*(3.8%)*	*(2%)*	*(1%)*	*(2%)*	*(4%)*	*(3%)*	*(100%)*			
Transaction expense (% of TPV)	***0.94%***	***0.93%***	**0.89%**	***0.90%***	**0.90%**	**0.87%**	***0.88%***	***-1 bps***	***0.89%***	***-2 bps***
P2P transaction expenses	1,135	1,207	1,398	326	346	348	391			
Transaction Loss Rate	*0.01%*	*0.07%*	*0.07%*	*0.06%*	*0.07%*	*0.06%*	*0.07%*	*-1 bps*	*0.06%*	*0 bps*
Other items										
Net New Users yoy	**(9)**	**8**	**5**	**3**	**1**	**2**				
Active Accounts	**426**	**434**	**439**	**439**	**439**	**440**	**438**		**440**	
% yoy growth	*(2%)*	*1.9%*	*1.2%*	*1%*	*0%*	*0%*	*0%*		*0%*	
Monthly Active Accounts	**224**	**229**	**231**	**225**	**228**	**228**				
% yoy growth	*1.4%*	*2.2%*	*0.9%*	*0.4%*	*0.9%*	*0.4%*				
Total Transactions	**24,982**	**26,335**	**25,356**	**6,475**	**6,750**	**6,796**	**6,901**	*(2%)*	**6,702**	*1%*
% yoy growth	*12%*	*5%*	*(4%)*	*7%*	*8%*	*7%*	*9%*	*-166 bps*	*6%*	*149 bps*

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 3: **PayPal raised savings by year end to >$700M this qtr (vs ~400M guided earlier)**

On track to achieve at least $1.5B gross run-rate savings over the next 2-3 years

>$700M gross run-rate expected by year-end '26

	2026	2027	2028	2029	Targeted gross run-rate savings
1. Simplified structure & alignment *Optimize spans, layers, and location of workforce*	*Simplified operating model*; Optimize role ratios; Refine location strategies; Reduce spans and layers across organization				**~20-30%** of total savings
2. Operational & portfolio optimization *Drive productivity, process improvements and efficiencies*	*Portfolio and geographic optimization*; Improve productivity and performance across business units and enabling functions; Increase efficiency in marketing, outside services & vendor spend				**~30-40%** of total savings
3. Accelerated AI Adoption *Integrate AI, automation across the business*	*Technology modernization and focus on customer support redesign*; Drive AI enabled process re-design and execution of AI and automation use cases; Deepen integration further into technology, risk, ops, fraud, and workforce planning				**~40%** of total savings

>$700M gross run-rate savings by year-end 2026 driven by:

1. **Simplified structure & alignment:** Reduced headcount by >2,000; reduced managerial roles by more than 25%.
2. **Operational & portfolio optimization:** Optimizing outside services; consolidating vendors; prioritizing countries for investment.
3. **Accelerated AI Adoption:** AI chat agents now support customer service across 190 countries and 6 languages, resolving 24M+ contacts YTD.

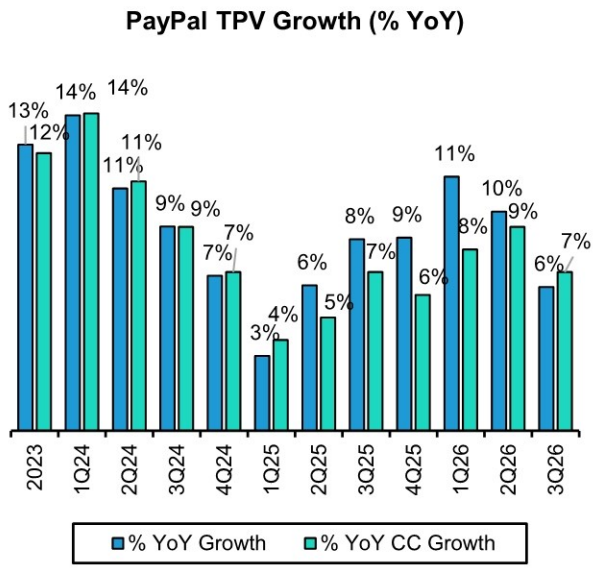
At least $1.5B Gross run-rate savings

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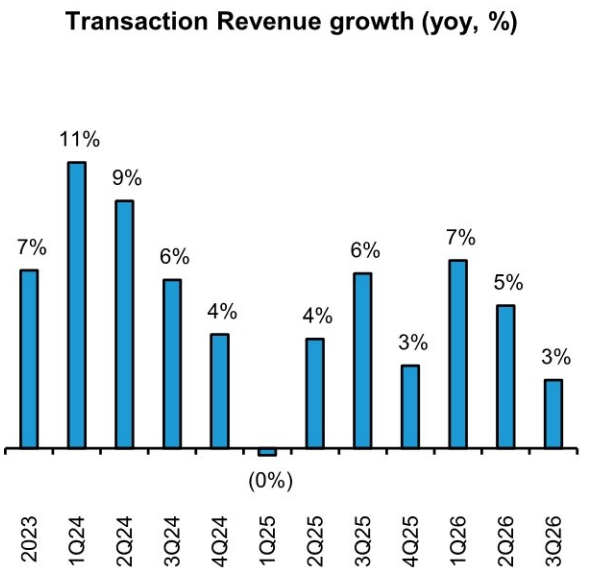
Source: Company reports, Bernstein analysis

EXHIBIT 4: **TPV growth came in at 6% in the qtr (vs 10%/11% in 2q/1q26)**



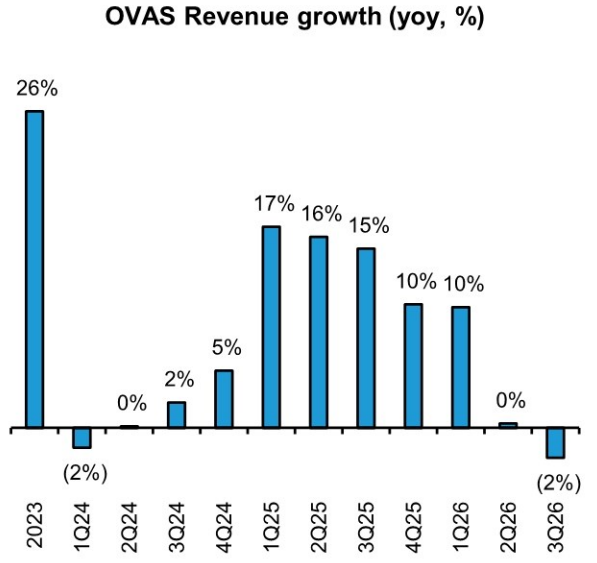
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Transaction revenue growth was 3% in 3q (vs 5%/7% in 2q/1q26)**



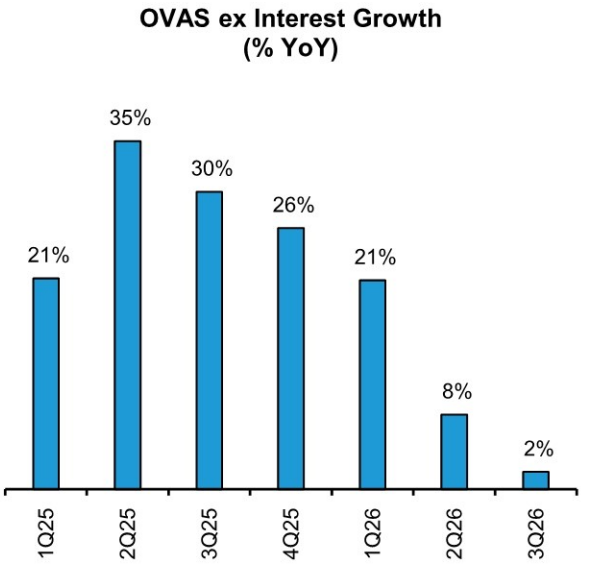
Source: Company reports, Bernstein analysis

EXHIBIT 6: **OVAS revenue was down 2% in 3q; driven by lower interest rates on consumer balances, partially offset by higher credit revenue**



Source: Company reports, Bernstein analysis

EXHIBIT 7: **OVAS ex-interest grew 2% YoY in 3q26**



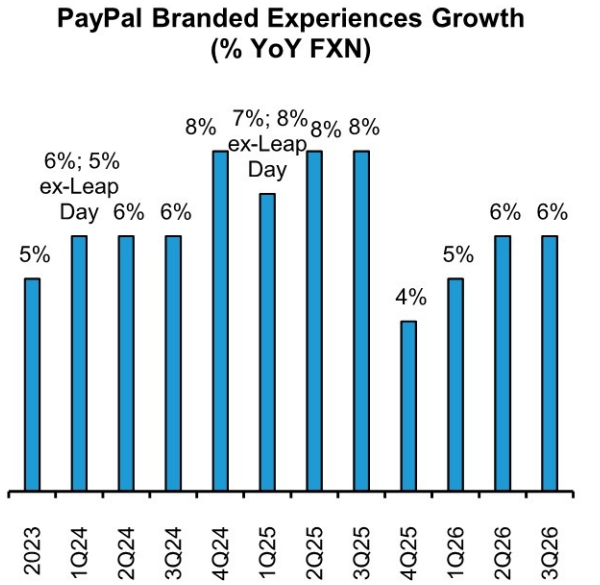
Source: Company report, Bernstein analysis

EXHIBIT 8: **PayPal Branded checkout (online) growth came in at the low-end of their 1%-2% growth guide**



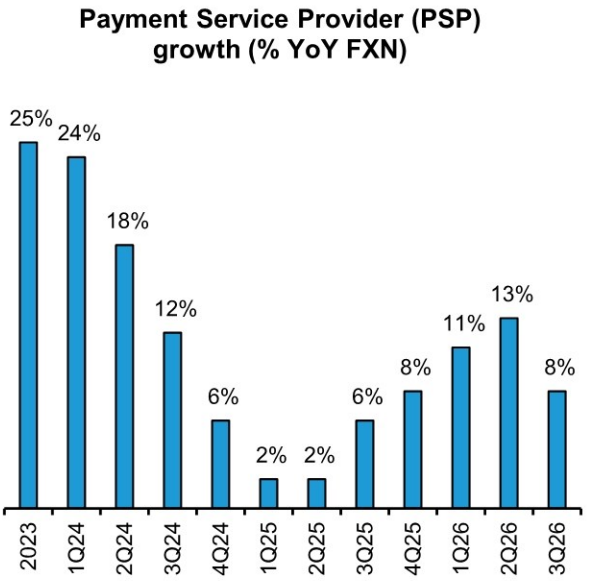
Branded Checkout (online) TPV comprises PayPal branded checkout, Pay with Venmo and eBay.
Source: Company reports, Bernstein analysis

EXHIBIT 9: **PayPal Branded Experiences (includes PayPal, Venmo Debit, Tap to Pay) grew 6% in 3q26, vs 6%/5%/4% in 2q/1q26/4q25**



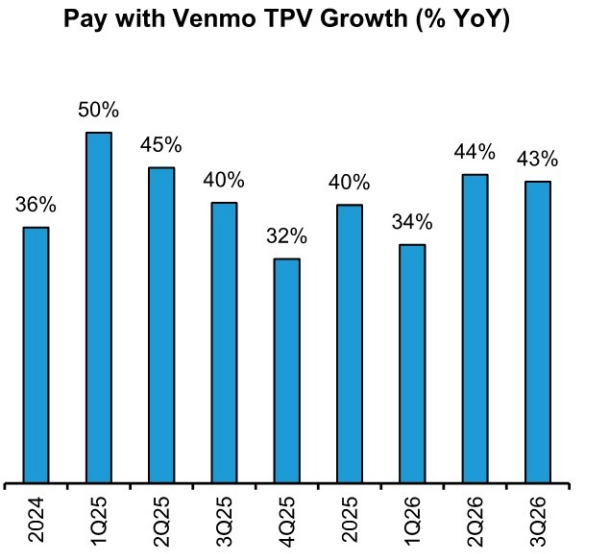
Source: Company reports, Bernstein analysis

EXHIBIT 10: **PSP volumes grew 8% in 3q (vs 13%/11% in 2q/1q26)**



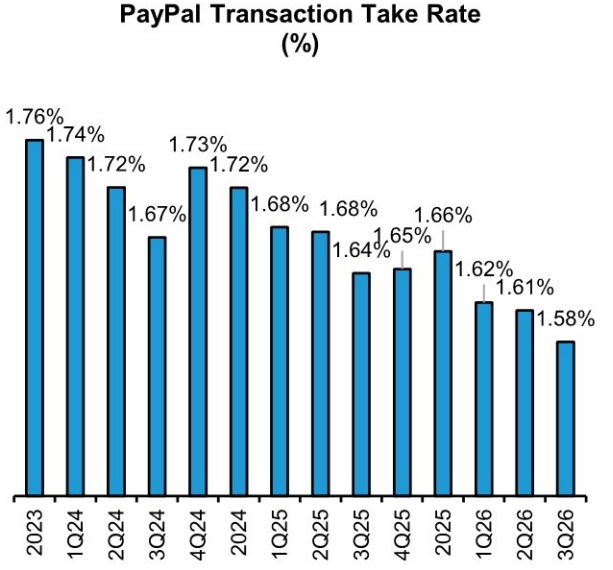
We calculate Braintree TPV using the TPV mix the company discloses for PSP (unbranded card processing) and assume 85% of that for Braintree
Source: Company reports, Bernstein analysis

EXHIBIT 11: **Pay with Venmo grew 43% during this quarter**



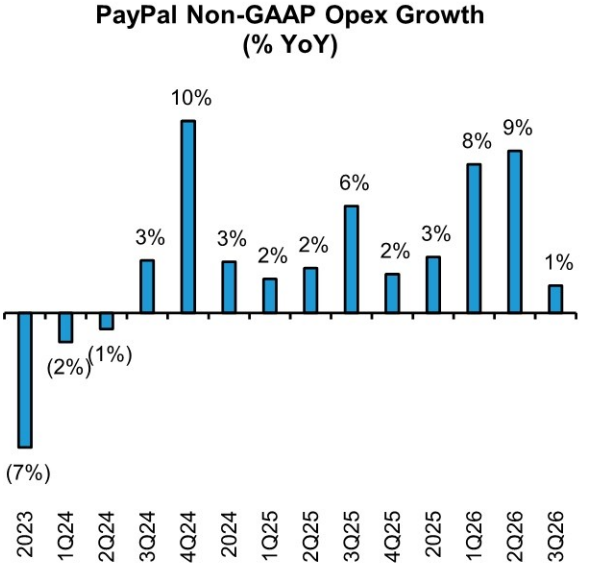
Source: Company reports, Berntein analysis

EXHIBIT 12: **PayPal transaction take rate was 1.58% in the quarter vs 1.61%/1.62% in 2q/1q26**



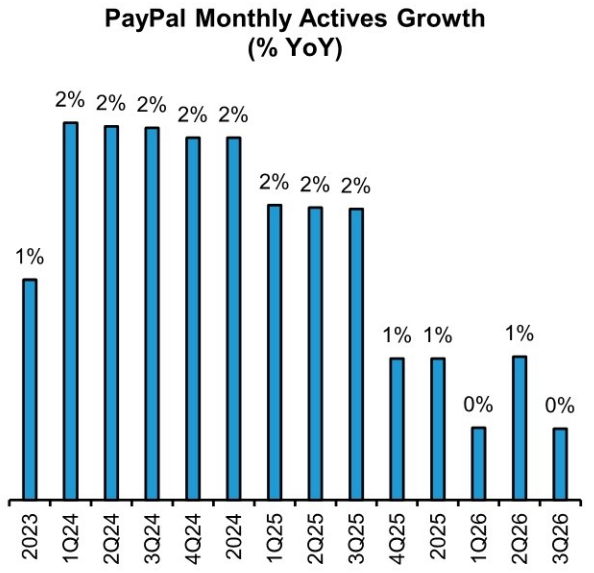
Source: Company reports, Bernstein analysis

EXHIBIT 13: **PayPal operating expense increased only 1% this qtr, driven by improved operational rigor i.e. faster tranformational progress, reducing management roles and right-sizing procure spend**



Source: Company reports, Bernstein analysis

EXHIBIT 14: **PayPal monthly actives were flat in 3q**



Source: Company reports, Bernstein analysis

INVESTMENT IMPLICATIONS

We rate PayPal Market-Perform.

BERNSTEIN TICKER TABLE

			26 Oct 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
PYPL (PayPal)	M	USD	54.99	55.00	(33.0)%	USD	5.31	5.37	5.67	10.4	10.2	9.7
SPX			7,676.77									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

PayPal Holdings Inc

Our PayPal Target Price of $55 reflects a probability-weighted framework: a 50% probability of no transaction, a 25% probability of a transaction at the current $60.50 per-share bid, and a 25% probability of a transaction at an increased bid in the low-$70s per share.

RISKS

PayPal Holdings Inc

Upside Risks to our price target include:

- Buybacks
- Better than expected traction of new checkout experiences, Fastlane, PayPal Everywhere
- Strong operating leverage driving earnings growth

Downside risks to our price target include:

- Macro — sensitivity for both revenue and multiple
- FX and resulting impact on cross-border volumes
- Steeper than expected deceleration of the core volumes due to competition, market maturity
- Execution hiccups in partnership implementation,
- eBay roll-off occurring faster vs. expectations
- Greater pricing pressures

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian

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The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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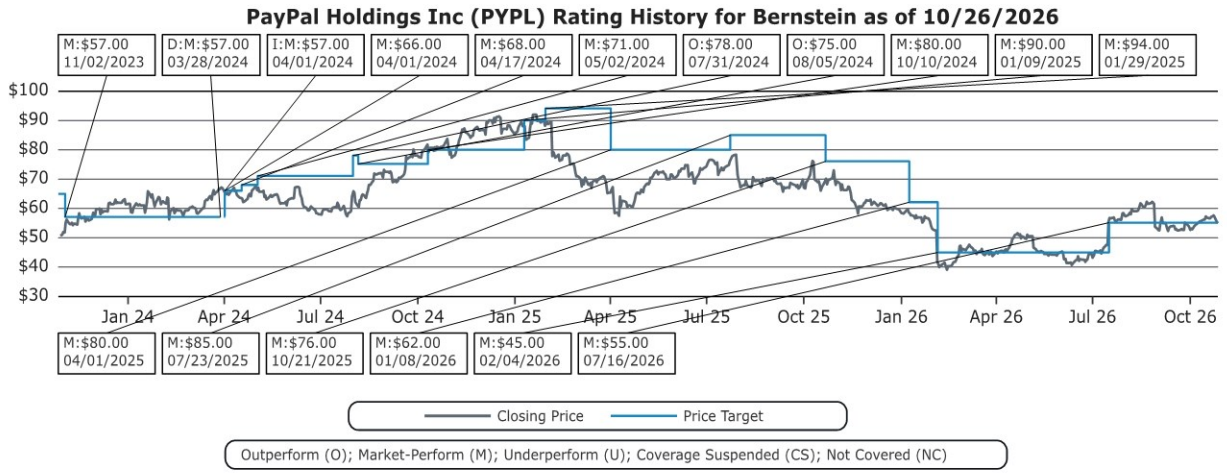
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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